

CAMBLIN VS. MOBILEONE, LLC, AN ARIZONA CORPORATION

CASE NUMBER: 26CV-0209779

Tentative Ruling on Motion to Enforce Settlement: Defendant MobileOne, LLC seeks enforcement of a settlement agreement between Plaintiff Joshua C. Camblin and Defendant. Despite being properly noticed, Plaintiff did not file an Opposition. The motion is based on a settlement agreement signed by Plaintiff and Defendant. Defendant has provided evidence that Plaintiff was contacted directly by a private investigator hired by Defendant who negotiated the settlement, which Plaintiff signed without his counsel.

“In representing a client, a lawyer shall not communicate directly or indirectly about the subject of the representation with a person the lawyer knows to be represented by another lawyer in the matter, unless the lawyer has the consent of the other lawyer.” Rule 4.2(a). Comment 3 reads as follows:

The prohibition against communicating “indirectly” with a person* represented by counsel in paragraph (a) is intended to address situations where a lawyer seeks to communicate with a represented person* through an intermediary such as an agent, investigator or the lawyer’s client. This rule, however, does not prevent represented persons* from communicating directly with one another with respect to the subject of the representation, nor does it prohibit a lawyer from advising a client concerning such a communication. A lawyer may also advise a client not to accept or engage in such communications. The rule also does not prohibit a lawyer who is a party to a legal matter from communicating on his or her own behalf with a represented person* in that matter.

The declarations provided by counsel and Mr. Ford are silent as to whether the contact with Plaintiff was made at direction of counsel or if Mr. Ford initiated contact on his own then informed counsel after the fact.

The Court notes that there is another case between the parties, *Camblin vs. MobileOne, LLC*, 207920 which is a wage and hour class action. In that matter, Defendant has filed a motion based on the same settlement agreement which is noticed for October 5, 2026 in Department 64. Dismissal of a party from a class action requires court approval. CRC 3.770. Additionally, the Court notes that § 6.1 of the agreement includes a representation by the Parties that no other cases between the two parties have been filed. As 207920 was already pending, this representation was clearly false.

Due to issues noted above, the Court will need further briefing and evidence in order to rule on the merits of the motion. Because the same agreement is being used to seek dismissal in both cases, the Court intends to issue an Order of Reassignment assigning 207920 to Department 63 so that the matters can be heard together. The Court requires appearance of both counsel at today’s hearing to discuss the issues noted above and select a future hearing date. **An appearance by both parties is necessary on today’s calendar.**

GARRIGUS VS. BLACH BEVERAGE, LLC

CASE NUMBER: 24CV-0206711

Tentative Ruling on Motion for Preliminary Approval of Class Action and PAGA Settlement: Plaintiffs Steven Garrigus and Kyren Cannaday brought this wage and hour class action and Private Attorneys General Act (“PAGA”) matter against Defendant Blach Beverage, LLC. The Second Amended Complaint filed April 15, 2026 is the operative pleading. The parties have settled the matter for a total of \$211,925.00 and seek preliminary approval by the Court.

The law favors the settlement of lawsuits, particularly in complex litigation, where they save time and resources. *Neary v. Regents of the University of California* (1992) 3 Cal. 4th 273, 277-281 (superseded by statute on other grounds). However, courts cannot automatically and instantly approve a proposed settlement or dismiss a class action suit, even if the representative plaintiff and defendant have agreed on the terms of such settlement or

dismissal. In a class action, the trial court has a duty to adequately protect the members of the class. *Bingham v. Obledo* (1983) 147 Cal. App. 3d 401, 406. Courts have long recognized that a class action may deprive an absent class member of the opportunity to independently press their claim, preclude a defendant from defending each individual claim to its fullest, and even deprive a litigant of a constitutional right. As such, a settlement or compromise of an entire class action, or a cause of action in a class action, or as to a party, requires the approval of the court after hearing. CRC 3.769(a). This takes two steps: (1) a preliminary review by the trial court, and (2) a final review after notice has been distributed to the class members.

The fundamental question for a preliminary review is whether the settlement is fair, adequate and reasonable. The purpose of this requirement is the protection of those class members, including the named plaintiffs, whose rights may not have been given due regard by the negotiating parties. *Dunk v. Ford Motor Co.* (1996) 48 Cal. App. 4th 1794, 1801. The trial court has broad discretion to determine whether the settlement is fair. It should consider relevant factors, such as: (1) the strength of plaintiff's case; (2) the risk, expense, complexity and likely duration of further litigation; (3) the risk of maintaining class action status through trial; (4) the amount offered in settlement; (5) the extent of discovery completed and the stage of the proceedings; (6) the experience and views of counsel; (7) the presence of a governmental participant; and (8) the reaction of the class members to the proposed settlement. The list of factors is not exhaustive and should be tailored to each case. *Id.*

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small. *Wershba v. Apple Computer, Inc.* (2001) 91 Cal. App. 4th 224, 225 (disapproved on other grounds by *Hernandez v. Restoration Hardware* (2018) 4 Cal. 5th 260).

Class Certification and Approval of Class Representative. A class action may be maintained "when the question is one of common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court." CCP § 382. "The 'community of interest' requirement embodies three factors: (1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class." *Gattuso v. Harte-Hanks Shoppers, Inc.* (2007) 42 Cal. 4th 554, 575. The Class consists of all current and former non-exempt employees who worked for Defendant in California at any time during the Class Period. The Class Period is December 27, 2020 through May 3, 2026. The PAGA period is December 21, 2023 through May 3, 2026.

Here, there appears to be a community of interest. There are common questions of law and fact because the proposed class members all worked for the same employer and were subject to the same employment practices and policies and same wage and hour laws. The class was readily identified through employment records and stands currently at approximately 133 individuals.

The class members have two representatives who appear to be similarly situated as former employees of Defendant during the class period and within the class member designation. Counsel has provided evidence that there are no conflicts and Plaintiffs' claims are typical of the class. The Court certifies the class for the purpose of settlement and confirms Steven Garrigus and Kyren Cannaday as the class representatives.

Approval of Class Counsel. Plaintiffs' counsel have demonstrated their experience and familiarity with class action cases, including employment and wage-and-hour disputes. Counsel has provided evidence that the firm is well versed in class actions, particularly of this nature, and has the competence to be appointed as Class Counsel. The Court appoints Tiago M. Coelho, Jennifer M. Leinbach, Lauren M. Lendzion, and Giancarlo A. Recinos of Wilshire Law Firm, PLC as Class Counsel.

Approval of Settlement Administrator. Phoenix Class Action Administration is proposed as the settlement

administrator. While no evidence of Phoenix Class Action Administration's qualifications was provided, the Court is familiar with this settlement administrator and confirms appointment.

Fairness of Settlement and Plan of Allocation. Preliminary approval of a class action settlement constitutes a conditional finding that the settlement appears to be in the range of acceptable settlements. The Court has broad discretion to determine whether the settlement is fair. *Dunk v. Ford Motor Company*, *supra*, 48 Cal. App. 4th at 1801. As noted above, factors relevant to the court's determination include, but are not limited to, the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, and the experience and views of counsel. *Id.* There is a presumption of fairness where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; and (3) counsel is experienced in similar litigation. *Id.* at 1802.

The settlement here was the result of arm's-length bargaining and mediation with an experienced mediator. Plaintiffs' counsel declared that the parties have exchanged extensive discovery and expert review of timekeeping records and other records of Defendant's allowed both parties to adequately analyze the claims. The Declaration of Thiago M. Coelho provides analysis of each claim that included the maximum exposure, discounts applied, and the realistic exposure. The class settlement is just 16.3% less than the estimated reasonable maximum recovery and avoids the added costs of litigation to certify the class and to try the matter. It also avoids the possibility that putative class members will have no recovery at all. The Court finds the settlement of \$211,925.00 to be fair, adequate, and reasonable.

Within the settlement, various fees and costs are apportioned prior to the net settlement amount, which is distributed to class members. The overall proposed breakdown of the settlement is as follows:

Total Settlement Amount	\$211,925.00
Proposed Attorneys' Fees (up to 33 1/3%)	-\$70,641.67
Litigation Costs and Expenses (up to)	-\$25,000.00
Settlement Administration Costs (up to)	-\$6,250.00 ¹
Proposed Class Representative Enhancements (up to \$10,000 each)	-\$20,000.00
PAGA Claim Settlement Allocation	\$20,000.00
Payment to Labor and Workforce Development Agency (LWDA) (65%)	(-\$13,000.00)
Payment to Class Members (35%)	(\$7,000.00)
Net Settlement to be Disbursed to Class Members/Aggrieved Employees	\$77,033.33

Attorneys' Fees and Costs: Counsel seeks up to 33 1/3% in attorneys' fees and up to \$25,000.00 in litigation costs. Counsel has provided evidence of their expertise in the area, the risk of taking the case given that no payment is provided until settlement, and efforts put forth to prosecute the case. The Court will not approve the amount of attorneys' fees until the final approval hearing. The court cannot award attorneys' fees without reviewing information about counsel's hourly rate and the time spent on the case. This is the law even if the parties have agreed to the fees. *Robbins v. Alibrandi* (2005) 127 Cal. App. 4th 438, 450-451. At the time of the final approval hearing, the Court will review the evidence provided by Class Counsel. In addition to the hourly rate and hours spent on the case, Class Counsel should provide admissible evidence supporting the hourly fee requested including, if applicable, whether Class Counsel charges fee-paying clients the same rates. The Court will likewise not approve final costs until the final hearing as that is when Counsel can provide evidence of the specific costs incurred as part of this litigation.

¹ The Court notes that the settlement administration costs are listed as \$7,000 in the Class Notice. The Court takes no issue with this, given the escalator clause.

Enhancement Award: The settlement provides for an enhancement award of \$10,000.00 to each of the named Plaintiffs as Class Representatives. The Court will not approve the amount of the enhancement award until the final approval hearing. With the final approval motion, Plaintiffs should provide admissible evidence to support the request, e.g. the number of hours of service provided, the nature of the work performed, the risks Plaintiffs faced in prosecuting this lawsuit, including any actual retaliation, and/or other evidence demonstrating the need for an incentive payment. See *Clark v. American Residential Services, LLC* (2009) 175 Cal. App. 4th 785, 804-807. Plaintiffs should also provide information regarding how the proposed service award relates to Plaintiffs' anticipated individual settlement awards and the average expected individual settlement awards for class members.

Settlement Administration Costs: Settlement administration costs have been requested in an amount up to \$6,250.00. The Court will not approve the amount of the costs awarded to the settlement administrator until the final approval hearing. An invoice from Phoenix showing the actual costs incurred will need to be filed for the final approval hearing. If there is a possibility that settlement administration costs may be higher than \$7,000, the dollar amount attributed this needs to be increased in the Class Notice. It is Plaintiff's obligation to raise this issue at the hearing should there be a possibility of more than \$7,000 in settlement administration costs.

The Court notes that the § 1.12 of the Settlement Agreement includes Spanish translation, however, no Spanish version was provided and there is no line item in Phoenix's invoice that would cover Spanish translation. The Court expects counsel to address this at the hearing as the settlement administration costs provided in the Class Notice need to be accurate.

PAGA: Under the Private Attorney General Act, private parties can assert claims for penalties that otherwise can be recovered only by the Labor and Workforce Development Agency ("LWDA"). Labor Code 2699(a). See also *Dunlap v. Superior Court* (2006) 142 Cal. App. 4th 330, 336. An employee who, through the PAGA, asserts a claim for civil penalties on behalf of the LWDA is acting as an agent of the LWDA. This is evident from the requirement that before initiating a PAGA claim, an employee must provide notice to the LWDA per Labor Code 2699.3(a), and the requirement that that 65% of any recovered civil penalties must be distributed to the LWDA, Labor Code 2699(i). In settling the LWDA's claims, Class Counsel are settling and releasing claims for penalties that belong to the People of the State of California acting through the LWDA. A settlement of LWDA claims should, therefore, provide a reasonable benefit to the state for the settlement of the released claims. The reasonable benefit may be based on the potential value of the recoverable civil penalties discounted by the risk and expense of litigation. In *Nordstrom Com' Cases* (2010) 186 Cal. App. 4th 576, 589, the Court of Appeal held that the Court can approve a settlement even when no money is allocated to the PAGA claims. The Declaration of Thiago M. Coelho provides evidence that the LWDA was notified of the settlement prior to the motion being filed and how the PAGA portion of the settlement was determined. The Court notes that no objection was received from the LWDA. The Court finds that the \$20,000 PAGA portion of the settlement is reasonable and confers a substantial benefit on both the State of California and aggrieved employees.

Notice and Notice Procedure. Plaintiff requests approval of Class Notice attached as Exhibit A to Exhibit 2 contained in the Declaration of Thiago M. Coelho. If a class notice is to be effective, "members of the class must receive the best notice practicable under the circumstances, including individual notice to all members who can be identified through reasonable effort." *Home Sav. & Loan Ass'n v. Sup. Ct.* (1975) 42 Cal. App. 3d 1006, 1012, citing Fed. R. Civ. P. 23(b)(2). The standard in California is whether the notice "has a reasonable chance of reaching a substantial percentage of class members." *Wershba v. Apple Computer* (2001) 91 Cal. App. 4th 224, 251. The Court notes the following issues with the Class Notice that will need to be corrected prior to mailing:

- § 12 – the deadline needs to be increased from 45 to 60 days
- § 13 – the deadline needs to be increased from 45 to 60 days
- § 15 – Giancarlo A. Recinos needs to be listed as Class Counsel

- § 17 – the deadline needs to be increased from 45 to 60 days

Following the changes noted above, the Class Notice is approved for mailing in the manner described in the Settlement Agreement, which may include Spanish translation. As noted above, Spanish translation was not included a line item in the invoice provided by Phoenix. Prior to granting the motion, Plaintiffs' counsel must inform the Court if it is reasonably anticipated that any class member is Spanish speaking only. If so, the Class Notice will need to be sent in English and Spanish, which the Court anticipates may increase settlement administration costs to over the \$7,000 listed in the Class Notice.

Assuming the issue regarding Spanish translation can be resolved at the hearing, the Court intends to **GRANT** the motion. Based on the timeline, it appears that a Final Approval Hearing on **Monday, March 1, 2027 at 8:30 a.m. in Department 63** would provide sufficient time. Absent a request for a different date, the Court will calendar the Final Approval Hearing as noted. Plaintiff submitted a proposed Order that will be modified to reflect the Court's ruling.

J.G. WENTWORTH ORIGINATIONS, LLC VS. JUSTICE
CASE NUMBER: 26CV-0211558

Tentative Ruling on Petition for Approval for Transfer of Payment Rights: Petitioner J.G. Wentworth Originations, LLC seeks an order approving transfer of payment rights pursuant to California Insurance Code § 10134 et seq. Real Party in Interest/Transferor Heather Justice has agreed to transfer 17 annual payments (December 1, 2027 – December 1, 2043) of \$3,500 each and 198 monthly payments (December 1, 2027 – May 1, 2044) of \$150 in exchange for \$22,000.

Ins. Code § 10139.5(f)(2) requires notice of the proposed transfer and the application for its authorization must be served on all interested parties not less than 20 days prior to the scheduled hearing. The statute further requires that a copy of the current petition, proposed transfer agreement and disclosure form, annuity contract, and other documents be served along with the notice. Ins. Code § 10134(g) provides that "Interested parties" means, with respect to a structured settlement agreement, the payee, the payee's attorney, any beneficiary irrevocably designated under the annuity contract to receive payments following the payee's death, the annuity issuer, the structured settlement obligor, and any other party who has continuing rights or obligations under the structured settlement agreement. The matter has been properly noticed.

The Court must determine whether the transfer is "fair and reasonable and in the best interest of the payee, taking into account the welfare and support of his or her dependents." Section 10137(a).

Ms. Justice has presented evidence that she is experiencing financial hardship and intends to use the funds to pay medical and credit card debt. The annuity is from a 2024 personal injury settlement and was not intended for future medical care or living expenses. Ms. Justice has no minor children and no support obligations. Ms. Justice is unemployed and currently receives \$500 per month from her annuity. The only other income listed by Ms. Justice is her husband's \$1,175 per month disability payment. Ms. Justice has completed three previous transfers since her annuity payments started in December 2024. Her Declaration indicates that she understands the terms of the transaction, although she has not sought independent legal or financial advice.

The Court is concerned that this is the fourth transaction in the past two years. The Court is also concerned that Ms. Justice is reducing her monthly income to \$350 and that her only other source of income is her husband's disability payment. Based on the information presently before the Court, the Court is unable to find that the transfer to be fair, reasonable, and in Ms. Justice's best interest based on the factors set forth in Ins. Code § 10139.5(b). The Court will need further information and intends to voir dire Ms. Justice. In order to proceed with this Petition, Ms. Justice will need to appear. **An appearance by Ms. Justice and counsel for Petitioner is required on today's calendar.**